Finally, all these shaky assets were financed with short-term debt. This is because in good times, short-term debt seems relatively cheap compared to long-term capital, and the market is willing to supply it because the costs of illiquidity appear remote. Markets seem to favour a bank capital structure that is heavy on short-term leverage. In bad times, though, the costs of illiquidity seem to be more salient, while risk-averse (and burnt) bankers are unlikely to take on excessive risk. The markets then encourage a capital structure that is heavy on capital.

Given the proximate causes of high bank holdings of mortgage-backed securities, as well as other risky loans, such as those to private equity, financed with a capital structure heavy on short-term debt, the crisis had a certain degree of inevitability. As house prices stopped rising, and indeed started falling, mortgage defaults started increasing. Mortgage-backed securities fell in value, became more difficult to price, and their prices became more volatile. They became hard to borrow against, even short term. Banks became illiquid, and eventually insolvent. Only heavy intervention has kept the financial system afloat, and though the market seems to believe that the worst is over, its relief may be premature.

Who is to blame for the financial crisis? As the above discussion suggests, there are many possible suspects – the exporting countries who still do not understand that their thrift is a burden and not a blessing to the rest of the world, the U.S. household that has spent way beyond its means in recent years, the monetary and fiscal authorities who were excessively ready to intervene to prevent short-term pain, even though they only postponed problems into the future, the bankers who took the upside and left the downside to the taxpayer, the politician who tried to expand his vote bank by extending home-ownership to even those who could not afford it, the